

An index that carries gold at a two-year-old weight reports too much real trade, on both sides

US goods trade, monthly. The reweighted deflator puts gold at the share trade actually had instead of the share it had two years ago

a. The import price index, as published and reweighted for gold

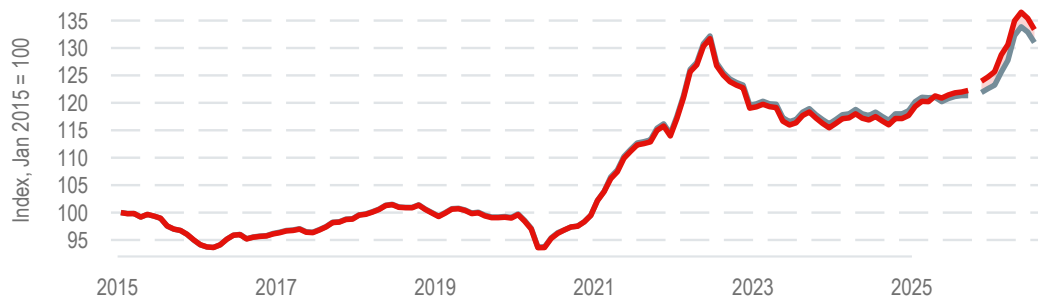


b. Real US goods imports, on the published and reweighted deflators

Shaded: reweighting cuts measured real imports by \$4.9bn a month



c. The export price index, as published and reweighted for gold



d. Real US goods exports, on the published and reweighted deflators

Shaded: reweighting cuts measured real exports by \$2.7bn a month



Left: the published all-commodities index against the same index with gold reweighted to its actual monthly share, January 2015 = 100. Right: goods trade deflated by each of those two indexes, in January 2015 dollars. Shaded area is the over-reporting. Note the vertical scales: the wedge is about 2% of the level, so the right-hand panels are drawn tight to the real series rather than to nominal trade, which would compress it out of sight.

The index understates inflation when gold's share exceeds its carried weight and gold is outrunning the rest, and an understated deflator gives too large a volume - so the red line sits BELOW the grey one and real trade is over-reported, not under. The drift is cumulative, not monthly: the correction is positive in only 45 of 78 months since 2020 on imports and 31 of 78 on exports, but the positive months are much the larger ones.

THIS IS NOT A CORRECTION TO PUBLISHED GDP. Over-reported real imports would push measured GDP down and over-reported real exports would push it up, and on these numbers the import side dominates, so real GDP would be understated. But BEA removes nonmonetary gold from the national accounts outright, so NIPA is never deflated through these indexes. What is exposed is the trade release's own real series and nowcasts bridging from it before BEA's treatment lands.

Every difference is taken against the previous non-missing index observation and paired with the gold share over exactly the months it spans, so the October 2025 hole - the only month BLS did not publish since 2015 - is decomposed correctly rather than bridged. October itself is missing in every series.

Source: Bureau of Labor Statistics (EIUIR, EIUIQ, EIUIR14270, EIUIQ12260); US Census Bureau; Bureau of Economic Analysis.